

RISK MANAGEMENT

We have so far looked into different kinds of markets and assets that we will be using to trade and form part of our trading system. The last component to be considered, risk management, is perhaps the most significant bit of the trading system. We cannot emphasize enough on how crucial this section is. If one does not understand this, they are better off away from technical analysis and trading. It can be disastrous for a trader who trades assets in the market without having a proper risk management system in place.

Without an effective risk management system in place, we are risking not only our assets but solvency as well. We are dealing with leveraged assets in the form of futures and options in many places. Poor risk management is the reason for many traders to get washed away from the market. A system can be worked upon and improved. But a poor risk management habit is very difficult to improve.

